Corporate India, too, stands to benefit. Lower borrowing costs reduce interest expenses and encourage capital investment. Manufacturing firms are already reporting higher capacity utilisation, and new project announcements have begun to pick up after a two-year lull. Centre for Monitoring Indian Economy (CMIE) data says investment proposals rose to Rs 5.8 lakh crore in the September quarter—up 20 per cent year-on-year. Analysts expect capital costs for large borrowers to decline by another 30-40 basis points in the next quarter, setting off a modest capex cycle in sectors like consumer durables, housing, logistics and green manufacturing.

In short, the Centre and the RBI seem to be orchestrating a coordinated pro-growth push, a deliberate pivot from the post-pandemic focus on fiscal consolidation. The strategy mirrors, in some ways, the mid-2000s model that powered India's last big boom—only this time, it is being pursued with greater monetary discipline and stronger external buffers.

KEEP IT STEADY

But sustaining the growth momentum depends on a variety of factors. "This (GST rate cuts) gives more money in the hands of the consumers, but it's a one-time event. One has to look at growth 12 months from now when people have digested this," CII president Rajiv Memani said in a media interview. Samiran Chakraborty, managing director, chief economist, India, at Citigroup, though, points out that there is "momentum in the economy and further emphasis on deregulation-driven supply side reforms should be able to support an over 7 per cent growth next year".

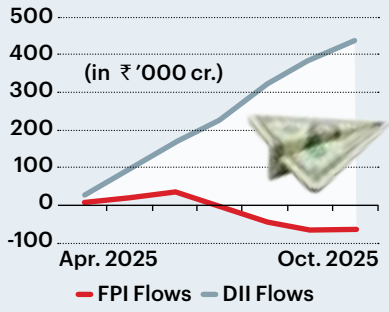
Naushad Forbes, co-chairman, Forbes Marshall, is a bit more circumspect. "I think we should be cautiously optimistic. Hopefully, consumption growth will be sustained, and that will, finally, feed into more private sector investment...it is long overdue anyway."

...BUT CONCERNS REMAIN

FOREIGN INVESTMENT

A STEADY OUTFLOW

Foreign Portfolio Investors (FPIs) are on a selling spree though Domestic Institutional Investors (DII) have shown a steady rise

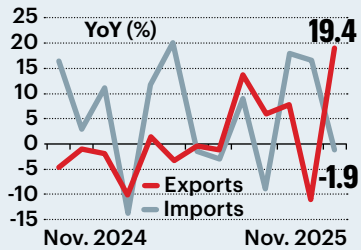


Source: RBI

EXPORTS

UNDER A SHADOW

Exports rebounded in November, but the momentum remains uncertain amid steep US tariffs

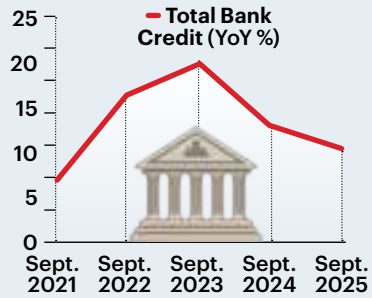


Sources: Ministry of Commerce & Industry, CEIC, Crisil

CREDIT OFFTAKE

PERSISTENT CAUTION

Credit offtake has lagged over the past two years, reflecting subdued borrowing demand



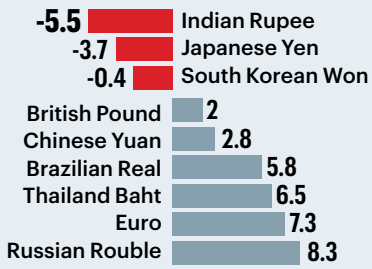
Source: RBI

RUPEE vs DOLLAR

FALLING CURRENCY

Against the dollar, the rupee has underperformed most major currencies, pushing up import costs

Movement of major currencies against USD since Apr. 2, 2025 (%)



Source: SBI Research

Meanwhile, a positive news on the fiscal side is that India is set to rectify an anomaly: shift the GDP calculation series base year from FY12 to FY23, a correction that will capture a decade of transformation invisible in the old data, such as digital payments, green manufacturing, app-based services and formalisation of economic activity. This should immediately boost the economy by about 600 to 750 basis points, which also means the sovereign (both Centre as well as state exchequers) can take more debt and spend more. The move to the new series will take place on February 27 next, which, theoretically, will leave more money in March to spend.

GROWTH HEADWINDS

The optimism on the economy aside, economists caution that food inflation, which makes up nearly 46 per cent of the CPI (consumer price index) basket, is notoriously volatile. A poor rabi crop, a spike in global crude,